



FOCUS CEMENT



marks in supply chain and logistics management, ensuring superior efficiency and enhancing sustainability. This is thanks to a three-pronged approach to reduce freight and forwarding costs. By optimising lead distances, enhancing warehouse operations, and increasing direct dispatches, the Companies have successfully reduced logistics costs by ₹ 38 per tonne to ₹ 1,352 per tonne during FY'24.

- The Companies have been able to achieve this reduction despite the 15% busy season charge on railway freight for four months during FY'24.

- Detailed route planning, renegotiation of commercial terms, and the application of advanced technologies have proved pivotal in achieving these cost optimisations.

- Multi-Modal Logistics Parks (MMLPs), 'Go Direct' programme, agile and automated logistics infrastructure, and a shift to CNG, LNG, and electric transportation are reducing costs and carbon footprint.

- Real-time demand and supply optimisation supported by the CNOC enhances operational excellence, while AI-enabled tracking ensures 95% GPS coverage.

- Added 11 'General Purpose Wagon Investment Scheme' (GPWIS) rakes during FY'24 to reduce the uncertainty in the supply chain for clinker movement.

- Addition of 26 Bogey Covered Fly Ash/Cement (BCFC) rakes in FY'25 will ensure safe and cost-effective transportation of fly ash from thermal power plants to facilities.

Green Power

Through strategic investments, as well as dedicated efforts towards sustainable practices, the Companies

have emerged as leaders, setting new industry standards for renewable energy (RE) integration, carbon footprint reduction, and alignment with global climate change mitigation goals. As one of India's early adopters of renewable energy, Ambuja Cements has achieved remarkable progress in transitioning to cleaner energy sources.

- On track to achieve 376 MW Waste Heat Recovery Systems (WHRS) and 1 GW RE Power capacities at an investment of ₹ 10,000 crore, to take Green Power utilisation to 60% by FY'28 across plants, from its current 19.1%.

- Ambuja Cements and ACC's dedication to green cement manufacturing is evident, with over 85% of their cement production being blended cements.

- The Companies are actively contributing to global sustainability goals, with a resolute aim for achieving Net Zero emissions by 2050, with near-term 2030 targets validated by the Science Based Targets initiative (SBTi), and champion a circular economy.

- ACC, the first Indian Cement Company to sign the Net Zero Pledge with Science Based Targets, and Ambuja Cements, India's first water positive cement company, which is currently 11x water positive and also 8x plastic negative, showcase the dedication to excellence in sustainability.

- Geoclean, the waste management arm of Ambuja Cements and ACC, co-processed more than 17 lakh tonnes of waste and conserved over 1 million tonnes of natural resources, contributing to a TSR of 8.5%, with a target to achieve 25% TSR by FY'28.

- Partnering with 20+ municipalities, Geoclean's efforts have remediated over 10 legacy landfills

resulting in reclaiming over 100 acres of land.

- Both, Ambuja Cements and ACC have received various honours for sustainability, including receiving a leadership score of 'A-' during the CDP Climate Assessment 2023 in the Climate Change category, being among a handful of thousands of global companies to receive such a high score.

Cost

Adani Group's Cement Business is determined to become the lowest cost cement manufacturer. Getting the most out of its existing product portfolio through premiumisation, cost efficiency, volatility management, skill-building and digitalisation of systems and processes, Ambuja Cements achieved a reduction of cost by ₹ 473 per tonne during FY'24. The target is to reduce it by an additional ₹ 530 per tonne by FY'28.

- Share of premium products and revenue increased by 30 bps during FY'24.

- Increasing process efficiencies, synergies, and cost optimisation.

- Digitisation is a significant multiplier to the cost and growth strategy of Ambuja Cements, transforming its entire value chain, from quarry to lorry through cutting-edge technologies and applications - Industry 4.0, AI, Mobile platforms, GPS, Data and Analytics, etc.

- State-of-the-art Cement and Concrete R&D facility with a focus on new product development.

- 22 man-hours of training provided per employee for employee development, to enhance skill-building, job satisfaction and ultimately employee retention, reducing costs.